QP 25901068

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS)REGULAR EXAMINATION MARCH 2026

FOURTH SEMESTER

Value Addition Course - MG4VACAVE200 – ENTREPRENEURSHIP AND STARTUP

(2024 ADMISSION ONWARDS)

Part A

Short Answer

Answer any 5 questions Each question carries 2 marks

1. What is a "Focus Group"?
   Focus groups are one of the most effective and popular market research methods available. Used to gather qualitative data and in-depth insights, they enable researchers to collect information on anything from products and services to beliefs and perceptions in order to reveal true customer attitudes and opinions.
2. What do you mean by 'product business'? Give an example.
   A product business is one that is engaged in the production, manufacturing or sale of tangible goods that customers can see, touch, and own. These goods are created by transforming raw materials into finished products or by purchasing and reselling physical items.
   Example: Maruthi Suzuki (automobile), Samsung (electronics)
3. What is a "Director Identification Number" (DIN)?
   DIN is a unique identification number issued to individuals who intend to become directors of a company. It is compulsory for all proposed directors.
4. Briefly explain the concept of export with a suitable example.
   Export refers to the sale and transportation of goods or services produced in one country to buyers in another country, serving as a cornerstone of international trade. It allows businesses to expand markets, increase revenue, and leverage competitive advantages, such as lower production costs or unique product quality.
   Example:
   Japan Automobile Export: Japanese manufacturers, such as Toyota or Honda, produce cars in Japan and sell them to customers in the United States, Canada, or China.
   India Spice Export: India produces spices and ships them to over 180 countries, including the USA and UK, making it a major exporter in that sector.

5. Define "Strategic Entrepreneurship."
   Strategic entrepreneurship is the integration of opportunity-seeking (entrepreneurial) and advantage-seeking (strategic) behaviors to create value and wealth. It involves identifying new opportunities while simultaneously using strategic management to build competitive advantages, often through innovation. This approach allows firms to navigate uncertain, competitive environments to achieve superior performance.

6. Name one external factor in a strategic analysis.
   External strategic analysis focuses on factors outside the organization that could impact its performance, such as market trends, competitive dynamics, regulatory changes, and economic conditions, technological advancements, which represent innovations like artificial intelligence, automation, or new manufacturing processes that can disrupt industries, create new markets.
7. What is "Social Media Marketing"?
   Social media marketing involves the use of social media platforms to connect with your audience to build your brand, increase sales, and drive website traffic. It encompasses activities such as posting text and image updates, videos, and other content that sparks user engagement. The primary goal is to create a strong online presence, fostering a sense of community around your brand.

Part B

Short Essay

Answer any 5 questions Each question carries 5 marks

8. Describe "Bootstrapping" and discuss its advantages for first-time founders.
   Bootstrapping refers to starting and growing a business using personal savings, internal cash flow, and minimal external funding rather than relying on investors or loans. This method is commonly adopted during the initial phase of a startup, especially when the business idea requires limited capital. It allows founders to retain 100% ownership and control, but often requires them to work long hours without pay in the early stages, limiting growth speed. It forces strict cash flow discipline and validation of ideas with real customers.
   - **Full ownership and control** – The founder retains complete decision-making authority without investor interference.
   - **Financial discipline** – Limited resources force entrepreneurs to carefully manage expenses and prioritize essential activities.
   - **Lower financial risk** – Avoids debt obligations and interest payments associated with loans.
   - **Encourages innovation and efficiency** – Entrepreneurs must creatively use available resources.
   - **Greater flexibility** – Business strategies can be changed quickly without consulting investors.

   Example: Zoho Corporation.
9. Briefly explain the importance of taxation.
   Taxation refers to the mandatory financial contribution imposed by the government on individuals and businesses to fund public services and development.
   Importance of Taxation:
   - **Revenue generation for government** – Funds public services such as infrastructure, healthcare, and education.
   - **Economic development** – Tax revenue supports development projects and welfare schemes.
   - **Business legitimacy and compliance** – Proper tax filing ensures legal operation of businesses.

- **Regulation of economic activities** – Taxes can influence consumption and investment patterns.
- **Social equality** – Progressive taxation helps redistribute wealth and reduce income inequality.

10. Explain the legal requirements and benefits of a "One Person Company"(OPC).
    A One Person Company (OPC) is a company structure under the Companies Act, 2013 that allows a single individual to own and manage a company with limited liability.
    Legal Requirements:
    - Must have only one shareholder and one nominee.
    - The owner must be an Indian citizen and resident.
    - Must be registered with the Registrar of Companies (ROC).
    - Requires compliance such as statutory filings and annual returns.

    Benefits:
    - Limited liability protection for the owner.
    - Separate legal entity from the individual.
    - Easy management and decision making.
    - Better credibility compared to sole proprietorship.
11. What are the functions of entrepreneurs?
    Entrepreneurs perform several important functions in establishing and developing a business.
    - **Innovation** – Introducing new products, services, or business ideas.
    - **Risk bearing** – Taking financial and operational risks involved in business.
    - **Organizing resources** – Combining land, labour, capital, and technology.
    - **Decision making** – Making strategic business decisions.
    - **Employment generation** – Creating job opportunities.
    - **Market development** – Identifying and exploiting new market opportunities.
12. Distinguish between bill, invoice and voucher.
    A bill, invoice, and voucher are important documents used in business transactions and accounting, but they serve different purposes.
    A bill is a statement that shows the amount of money owed by a customer for goods or services provided. It mainly indicates the total amount payable and is usually issued by the seller or service provider as a request for payment.
    An invoice, on the other hand, is a more detailed document issued by the seller to the buyer requesting payment. It contains detailed information such as the description of goods or services, quantity, price, total amount, and payment terms. In accounting, invoices serve as an official record of sales transactions.
    A voucher is a document that acts as proof or evidence of a financial transaction. It is generally prepared by the business or accounts department and is used to support accounting entries and maintain proper financial records during bookkeeping and auditing. Thus, while bills and invoices relate directly to sales and payment requests, vouchers function as supporting documents that verify financial transactions in accounting.
13. Explain the consequences of non-filing of statutory documents.
    Non-filing of statutory documents means failing to submit required legal documents (such as tax returns or annual filings) to regulatory authorities within the prescribed time.

Consequences:

- Financial penalties and fines imposed by authorities.
- Legal action or prosecution against the company or directors.
- Loss of business credibility and reputation.
- Restrictions on company operations, such as inability to raise funds.
- Possible deregistration or strike-off of the company from official records.

14. Discuss how "Word of Mouth Marketing" serves as the most powerful tool for early-stage ventures.

    Word of Mouth Marketing (WOMM) refers to the informal promotion of a product or service through customer recommendations and personal communication.

    Importance for Early-Stage Ventures:

    - Cost-effective marketing – Requires little or no advertising budget.
    - High trust and credibility – People trust recommendations from friends and family.
    - Faster brand awareness – Positive experiences spread quickly among communities.
    - Customer loyalty – Satisfied customers become brand advocates.
    - Organic growth – Encourages repeat customers and new referrals.

    Example: Small startups often rely on satisfied customers sharing their experiences on social media or in personal networks.

Part C

Essay

Answer any 1 question Each question carries 15 marks

15. Describe the qualities of a successful entrepreneur using real-life examples.

    A successful entrepreneur is not defined only by financial success, but by a combination of personal qualities, strategic thinking, and the ability to adapt to changing environments. Several key qualities can be identified, and these are clearly visible in real-life entrepreneurs across industries.

    One of the most important qualities is vision. A successful entrepreneur has the ability to foresee opportunities and imagine something that does not yet exist. For example, Steve Jobs envisioned personal computers and smartphones as essential tools for everyday life. His vision led to the creation of revolutionary products like the iPhone, which transformed communication and digital interaction.

    Another key quality is risk-taking ability. Entrepreneurs often operate under uncertainty and must be willing to take calculated risks. Elon Musk is a strong example, as he invested his own money into companies like Tesla and SpaceX when their success was uncertain. His willingness to take risks has resulted in groundbreaking innovations in electric vehicles and space technology.

    Innovation and creativity are also crucial, especially in fields like animation and graphic design. Entrepreneurs must develop unique ideas to stand out in competitive markets. Walt Disney demonstrated this through the creation of animated feature films and theme parks, introducing new storytelling techniques and visual experiences that shaped the entertainment industry.

    Another essential quality is leadership. A successful entrepreneur must be able to guide and motivate a team towards achieving a common goal. Ratan Tata showed strong leadership by

expanding the Tata Group globally and maintaining ethical business practices. His leadership style focused on trust, innovation, and long-term growth.

Perseverance and resilience are equally important, as entrepreneurs often face failures and setbacks. J.K. Rowling faced multiple rejections before publishing the Harry Potter series, which later became a global success. Her journey highlights the importance of persistence in overcoming challenges.

Additionally, decision-making and problem-solving skills play a vital role. Entrepreneurs must make timely and effective decisions to handle business challenges. For instance, Jeff Bezos continuously adapted business strategies to expand Amazon from an online bookstore to a global e-commerce leader.

Finally, adaptability and continuous learning are essential in today's rapidly changing world. Entrepreneurs must keep up with new technologies and market trends. Mark Zuckerberg adapted Facebook into a broader platform by acquiring companies like Instagram and focusing on new technologies such as virtual reality.

In conclusion, the qualities of a successful entrepreneur include vision, risk-taking ability, innovation, leadership, perseverance, decision-making skills, and adaptability. Real-life examples show that these qualities are interconnected and essential for achieving long-term success. For students in animation and graphic design, these traits are especially important as the industry demands creativity, technological awareness, and entrepreneurial thinking to build successful careers or startups.

16. Explain the ethical considerations in entrepreneurial leadership.

Ethical considerations in entrepreneurial leadership play a crucial role in ensuring that a business operates responsibly, sustainably, and with integrity. For an entrepreneur, leadership is not only about achieving profits and growth but also about making decisions that are morally sound and socially responsible. In today's competitive and highly visible business environment, ethical leadership helps in building trust, reputation, and long-term success.

One of the primary ethical considerations is honesty and transparency. Entrepreneurs must communicate truthfully with customers, employees, and stakeholders. This includes being clear about product features, pricing, and business practices. For instance, Narayana Murthy is widely respected for maintaining transparency in financial reporting and corporate governance, which helped build strong trust in his organization.

Another important aspect is fair treatment of employees. Ethical entrepreneurs ensure equal opportunities, fair wages, and a safe working environment. Discrimination, exploitation, or unfair practices can harm both employees and the company's reputation. Ratan Tata emphasized employee welfare and dignity, making ethical treatment a core value of the Tata Group.

Responsibility towards customers is also a key ethical factor. Entrepreneurs must provide quality products and services without misleading advertisements or false claims. Misleading clients or copying designs without permission is unethical and damages professional credibility.

Another major consideration is respect for intellectual property (IP). For students and professionals in creative industries, this is especially relevant. Entrepreneurs must ensure that they do not violate copyrights, trademarks, or patents. Using licensed software, giving

proper credits, and creating original content are essential ethical practices in design and animation businesses.

Social responsibility is also an important element of ethical leadership. Entrepreneurs should consider the impact of their business on society and the environment. For example, Elon Musk promotes sustainable energy solutions through Tesla, contributing to environmental protection. Ethical entrepreneurs aim to create value not just for themselves but for society as a whole.

Another key factor is accountability. Entrepreneurs must take responsibility for their decisions and actions, especially when mistakes occur. Accepting errors and taking corrective measures reflects strong ethical leadership and builds credibility.

Finally, avoiding corruption and unfair practices is essential. This includes rejecting bribery, maintaining fair competition, and following legal regulations. Ethical entrepreneurs understand that short-term gains through unethical means can lead to long-term damage.

In conclusion, ethical considerations in entrepreneurial leadership include honesty, fairness, respect for intellectual property, social responsibility, accountability, and adherence to legal standards. Ethical leadership not only ensures business success but also contributes positively to society and builds a strong professional reputation.

17. Explain the term 'exit strategy'. What is its importance? Also explain different types of exit strategies. What factors should be considered before selecting an exit strategy?

An exit strategy refers to a planned approach by which an entrepreneur intends to leave or withdraw from a business, either by selling, transferring ownership, or closing operations. It is a crucial component of business planning, as it allows entrepreneurs to maximize returns on investment, reduce risks, and ensure a smooth transition of ownership or control.

The importance of an exit strategy lies in its role in long-term planning and sustainability. Firstly, it helps entrepreneurs secure financial gains by planning how and when to sell or transfer the business profitably. Secondly, it provides a clear direction for growth, as decisions are often aligned with the desired exit outcome. Thirdly, it reduces uncertainty and risk by preparing for unforeseen circumstances such as market changes, personal issues, or business downturns. Additionally, investors often look for a defined exit strategy before investing, as it indicates how they will recover their investment and earn returns. For students in animation and graphic design startups, having an exit plan is important when scaling a creative studio or digital business.

There are several types of exit strategies, each suitable for different business goals:

- **Merger and Acquisition (M&A):** In this strategy, the business is sold to or merged with another company. This is common in startups where larger firms acquire smaller innovative companies. It allows entrepreneurs to gain significant financial returns and may also ensure business continuity.
- **Initial Public Offering (IPO):** The company offers its shares to the public through the stock market. This strategy is suitable for well-established businesses aiming for large-scale expansion and capital generation. However, it involves complex regulations and high costs.
- **Selling to a Third Party:** The entrepreneur sells the business to an external buyer, such as another entrepreneur or investor. This is one of the most common exit strategies for small and medium enterprises.

- **Management Buyout (MBO):** In this case, the existing management team purchases the business from the owner. This ensures continuity as the business is handled by experienced individuals familiar with operations.
- **Family Succession:** The business is transferred to family members. This is common in family-owned businesses where continuity and legacy are important.
- **Liquidation:** The business is closed, and its assets are sold to repay liabilities. This is usually considered when the business is not profitable or sustainable.
- **Acqui-hiring:** A company is sold primarily for its skilled workforce rather than its products or services. This is often seen in creative and tech industries, including design and animation startups.

Before selecting an exit strategy, several factors must be considered. One key factor is the financial condition of the business, as profitability and asset value influence the choice of exit. Another factor is the market condition, including demand, competition, and economic environment. The personal goals of the entrepreneur are also important—whether they seek maximum profit, quick exit, or legacy continuation. Additionally, the nature and size of the business determine which strategies are feasible. Legal and tax implications must also be evaluated, as different strategies involve different regulatory requirements and financial consequences. Lastly, the readiness of successors or buyers plays a crucial role, especially in family succession or management buyouts.

In conclusion, an exit strategy is an essential part of entrepreneurial planning that ensures a structured and profitable way of leaving a business. Understanding its importance, types, and influencing factors helps entrepreneurs make informed decisions and achieve long-term success. For students in animation and graphic design, planning an exit strategy is particularly useful when building startups, studios, or freelance brands in a dynamic and competitive industry.